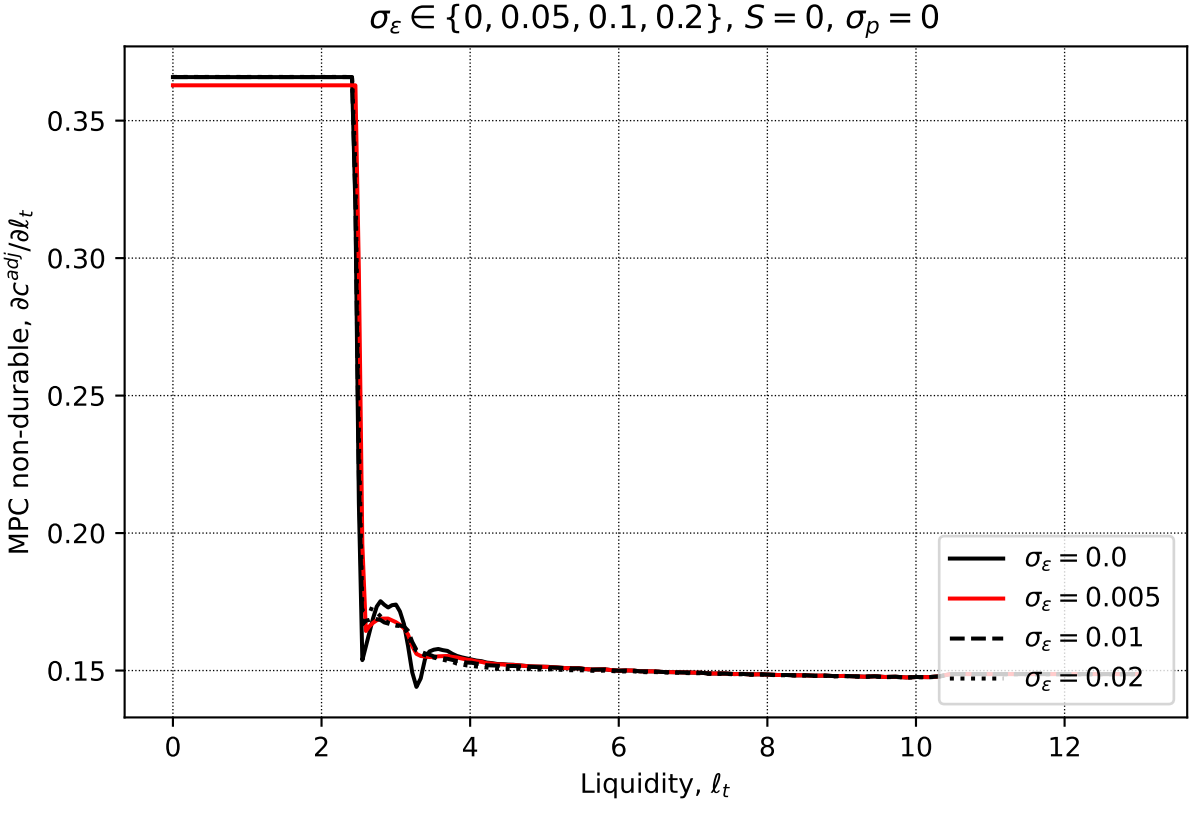
$\sigma_\varepsilon \in \{0, 0.05, 0.1, 0.2\}$, $S = 0$, $\sigma_p = 0$
MPC non-durable, $\partial c^{adj}/\partial \ell_t$
0.35
0.30
0.25
0.20
0.15
0
2
4
6
8
10
12
Liquidity, $\ell_t$
$\sigma_\varepsilon = 0.0$
$\sigma_\varepsilon = 0.005$
$\sigma_\varepsilon = 0.01$
$\sigma_\varepsilon = 0.02$